- **Stock** refers to a quantity of a commodity measured at a point of time. In macro economics, money supply, unemployment level, foreign exchange reserves, capital etc are examples of stock variables.

- **Flow variables** are measured over a period of time. National Income, imports, exports, consumption, production, investment etc are examples of flow variables.

- **Economic Models** A model is a simplified representation of real situation. Economists use models to describe economic activities, their relationships and their behaviour. A model is an explanation of how the economy, or part of the economy, works. Most economic models are built with mathematics, graphs and equations, and attempt to explain relationships between economic variables. The commonly used economic models are the supply-demand models and circular flow models and Smith models.

1.9 Circular Flow of Income



The circular flow of income is a model of an economy showing connections between different sectors of an economy. It shows flows of income, goods and services and factors of production between economic agents such as firms, households, government and nations. The circular flow analysis is the basis of national accounts and macroeconomics.

There are three models of circular flow of income, representing the major economic systems.

1. **Two Sector Model:** It is for a simple economy with households and firms.

2. **Three Sector Model:** It is for a mixed and closed economy with households, firms and government.

3. **Four Sector Model:** It is for an open economy with households, firms, government and rest of the world (External sector).

1.9.1 Circular Flow of Income in a Two-Sector Economy:

There are only two sectors namely, household sector and firm sector.

(i) Household Sector: The household sector is the sole buyer of goods and services, and the sole supplier of factors of production, i.e., land, labour, capital and organisation. It spends its entire income on the purchase of goods and services produced by the business sector. The household sector receives income from firm sector by providing the factors of production owned by it.

(ii) Firms: The firm sector generates its revenue by selling goods and services to the household sector. It hires the factors of production, i.e., land, labour, capital and organisation, owned by the household sector. The firm sector sells the entire output to households.